

Dividends

Dividends are profits distributed to shareholders. The total profits after tax are not always distributed; a portion is often ploughed back into the company for its future growth and expansion. Dividends paid during the year in anticipation of profits are known as interim dividends. The final dividend is usually declared after the results for the period have been determined. The final dividend is proposed at the annual general meeting of the company and paid after the approval of the shareholders.